Five-year plan models - an assessment - Planning Commission and Niti Aayog;

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Introduction

✓ Main economic planning tool for India (1951–2017)

✓ Based on **socialist principles**

✓ Aimed at **structured economic development**

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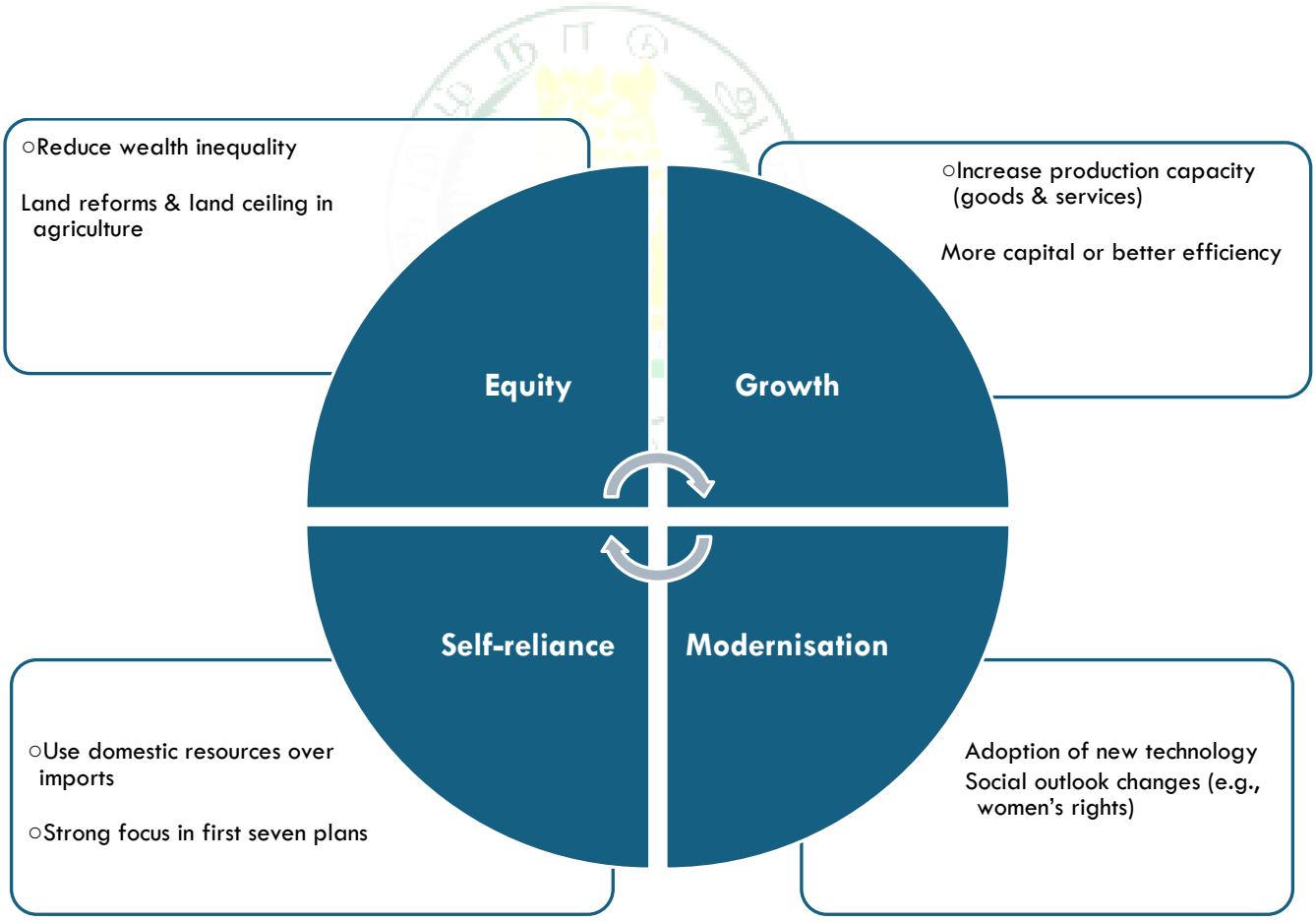
Director,

Department of Employment and Training.

The Five-Year Plans and Planning in India

Planning Commission (1950)	○Established for planned economic development ○PM as Chairperson Oversaw Five-Year Plans
NITI Aayog (2015)	○Replaced Planning Commission ○More decentralized planning Discontinued Five-Year Plan system

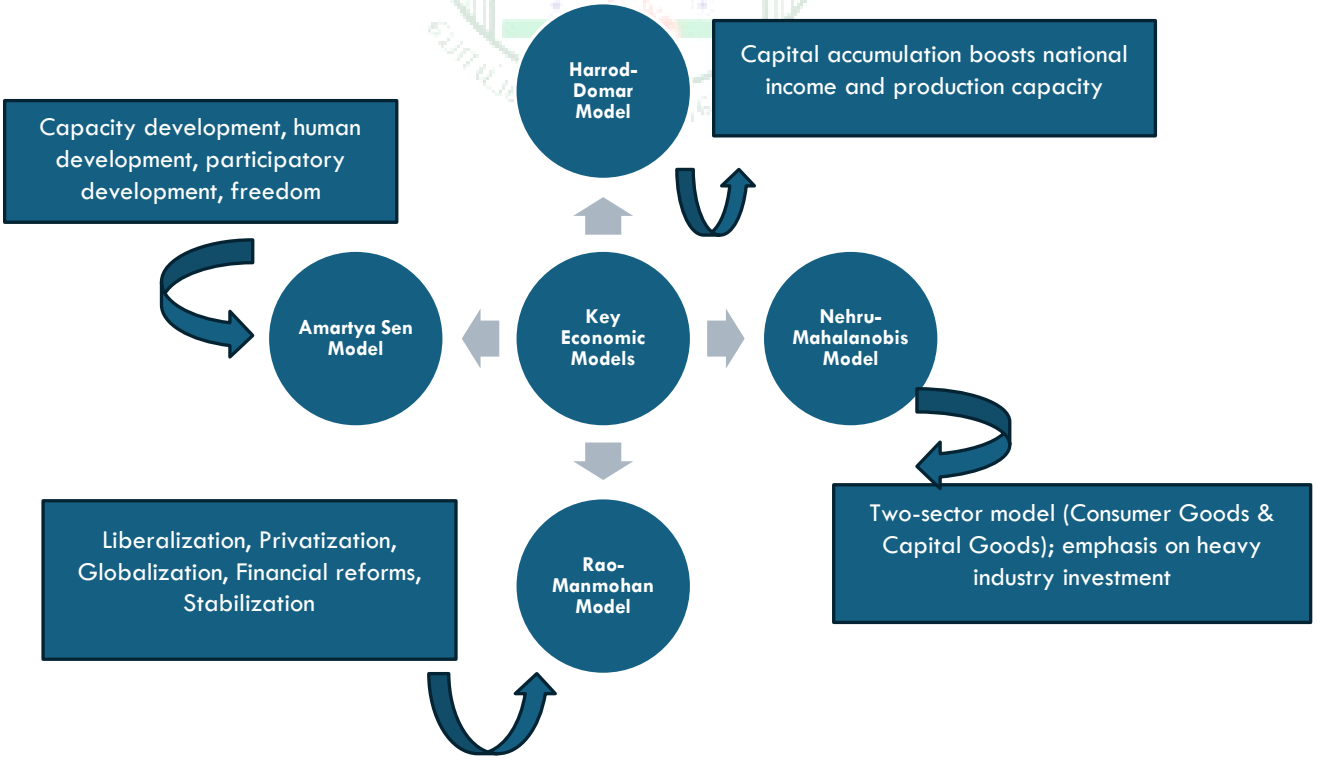
Objectives of Five-Year Plans



Major Plan Proposals (Pre-Five-Year Plans)

Bombay Plan	Abolish Zamindari, promote rapid industrialization, develop small/medium/cottage industries
Gandhian Plan	Economic decentralization, promote small-scale & cottage industries
People's Plan	10-year plan prioritizing agriculture & balanced industrialization
Sarvodaya Plan	•Focus on agriculture, small industries, independence from foreign tech, land reforms, decentralized planning

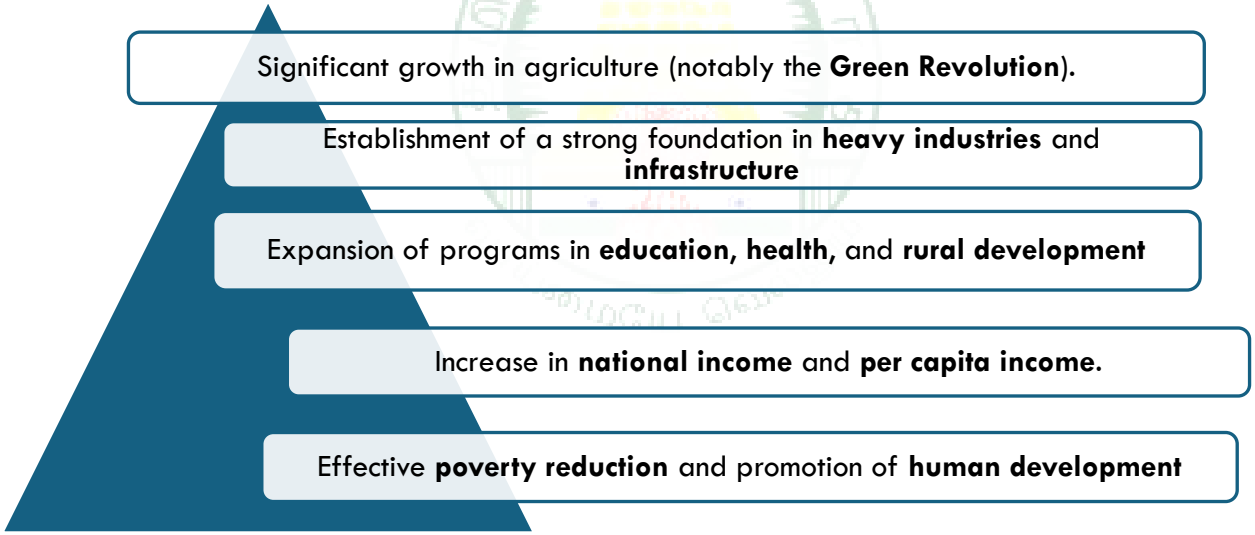
Key Economic Models in Five-Year Plans



Plan	Target Growth (%)	Actual Growth (%)	Description / Highlights
1st Five-Year Plan (1951-56)	2.1	3.6	Inspired by Harrod-Domar Model. Focus on agriculture, irrigation, rural development, power, transport, and price stability.
2nd Five-Year Plan (1956-61)	4.5	4.3	Known as Mahalanobis Plan. Focused on rapid industrialization, especially heavy & capital goods industries. Proposed foreign loans/imports.
3rd Five-Year Plan (1961-66)	5.6	2.84	Balanced focus on heavy industry and food grain production. Actual growth affected by wars and droughts.
Three Annual Plans (1966-69)	—	—	Termed "Plan Holiday." Implemented New Agricultural Strategy: High Yield Varieties, irrigation, fertilizers, soil conservation.
4th Five-Year Plan (1969-74)	5.7	3.3	Emphasized agricultural growth (Gadgil strategy) and social justice (reducing wealth concentration). Bank nationalization, Green Revolution.
5th Five-Year Plan (1974-79)	4.4	4.8	Focused on poverty eradication (Garibi Hatao) and self-reliance. Launched Minimum Needs Programme and Twenty-point Programme.
Rolling Plan (1978-80)	—	—	Transitional period.
6th Five-Year Plan (1980-85)	5.2	5.7	Modernization, poverty & unemployment reduction. Shifted focus to infrastructure & employment generation (NREP, IRDP, small industries).
7th Five-Year Plan (1985-90)	5	6.1	Prioritized food grain production, employment, productivity. Known as the Infrastructure Plan. Emphasized import substitution.
Annual Plans (1990-92)	—	—	Delayed 8th Plan due to 1991 BOP crisis & IMF conditions.
8th Five-Year Plan (1992-97)	5.6	6	Based on Rao-Manmohan Model (economic reforms). Neglected social spending.

9th Five-Year Plan (1997-2002)	6.5	5.4	Focus on quality of life, employment, regional balance, self-reliance. Emphasis on agriculture and rural development.
10th Five-Year Plan (2002-07)	8	7.6	Goals: reduce poverty by 5%, narrow gender gaps, lower population growth, reduce infant mortality, increase literacy, boost savings.
11th Five-Year Plan (2007-12)	9	8	Theme: "Towards Faster and More Inclusive Growth."
12th Five-Year Plan (2012-17)	8.2	6.9	Theme: "Faster, More Inclusive, and Sustainable Growth."

Successes of Five-Year Plans



Limitations of Five-Year Plans

- Persistent **poverty** and **unemployment** remained unresolved.
- Marked **regional** and **social inequalities** continued.
- Periods of **industrial stagnation** affected growth.
- Issues with **delayed implementation** and **resource mismanagement.**
- **Environmental degradation** was largely ignored or insufficiently addressed

End of Five-Year Plans

- The Five-Year Plan system was **discontinued in 2017.**
- The **Planning Commission** was replaced by **NITI Aayog.**
- Shift toward **flexible, bottom-up planning** through
  - Three-Year Action Plans,
  - Seven-Year Strategies,
  - Fifteen-Year Vision Documents.